

Business Viability Calculator

Know if your idea makes money — before you spend a rupee.

[Break-Even Engine](#)[12-Month Runway](#)[Verdict Dashboard](#)[Zero Jargon](#)

WHAT THIS CALCULATOR DOES

1

Break-Even Analysis

How many units must you sell each month to cover all costs? Calculates instantly.

2

12-Month Cash Runway

How long can you survive before the business must fund itself? Month-by-month view.

3

Viability Verdict

Green / Amber / Red signal with plain-English explanation — no finance degree needed.

THE CORE FORMULA

BREAK-EVEN LOGIC

$\text{Contribution Margin} = \text{Price per Unit} - \text{Variable Cost per Unit}$

$\text{Break-Even Units} = \text{Fixed Costs} / \text{Contribution Margin}$

$\text{Runway (months)} = \text{Starting Capital} / \text{Monthly Net Burn}$

$\text{Verdict} = \text{IF break-even} \leq 50\% \text{ of Month-1 target AND runway} > 6$

$\text{THEN GREEN ELSE IF break-even} > 2\text{x Month-1 target}$

$\text{THEN RED ELSE AMBER}$

Ship with numbers, not hope.

HOW TO USE THE CALCULATOR — 5 TABS, 15 MINUTES

1

START HERE

Read the color guide. Blue on amber = your input. Black text = formula. Never edit formulas.

2

IDEA SNAPSHOT

Enter your business name, what you sell, target customer, price, and monthly unit estimate.

3

BREAK-EVEN ENGINE

Enter fixed costs (hosting, tools) and variable costs (payment fees). Break-even auto-calculates.

4

RUNWAY PLANNER

Enter starting capital, personal expenses, and income. 12-month cash projection builds automatically.

5

VERDICT DASHBOARD

Everything aggregates here. One signal. One plain-English explanation. Green = go. Red = fix first.

COLOR LEGEND

Blue text =
YOUR INPUT

Black text =
Formula

Green = Viable

Amber =
Marginal

Red = High Risk

VERDICT LOGIC TABLE

SIGNAL	CONDITION	WHAT TO DO
☐ VIABLE	Break-even $\leq$ 50% of Month-1 target AND runway $>$ 6 months	Launch. Track weekly. Scale what works.
☐ MARGINAL	Break-even reachable but not comfortably within target	Raise price, cut fixed costs, or revise sales estimate.
☐ HIGH RISK	Break-even requires 2x+ your Month-1 unit estimate	Rethink pricing, cost structure, or idea entirely.

EXAMPLE WALKTHROUGH — Digital Finance Kit at ₹2,999

A first-time founder selling PDF workbooks + Google Sheets templates. Here is exactly how the calculator works through this scenario.

Step 1 — Idea Snapshot inputs

FIELD	INPUT
Selling price per unit	₹2,999
Estimated units — Month 1	10
Refund / discount rate	5%
Revenue model	One-time digital download

Step 2 — Break-Even Engine

METRIC	VALUE
Fixed costs (hosting + Canva Pro)	₹1,000 / month
Variable cost (2% gateway fee)	₹60 per sale
Contribution margin per unit	₹2,999 - ₹60 = ₹2,939
Contribution margin %	98.0%
Break-even units / month	1 unit (ceiling of $1,000 / 2,939$)

Step 3 — Runway Planner

METRIC	VALUE
Starting capital	₹50,000
Other monthly income	₹0 (full-time founder)
Personal expenses/month	₹30,000
Net cash — Month 1	$10 \times ₹2,939 - ₹1,000 - ₹30,000 = -₹1,610$
Estimated runway	~28 months

EXAMPLE CALCULATION

Price = ₹2,999

Variable Cost = ₹60 (2% x ₹2,999)

CM per unit = ₹2,939

Fixed Costs = ₹1,000 / month

Break-Even = $\text{CEILING}(1,000 / 2,939, 1) = 1 \text{ unit}$

Month-1 Target = 10 units

Verdict Check = $1 \leq 10 * 0.5$ (5)? YES AND runway > 6? YES

RESULT = GREEN – VIABLE

☐ VERDICT: VIABLE — You need 1 sale to break even. You're targeting 10.

Break-even is 10x below your Month-1 target. Launch immediately and track weekly.

5 MISTAKES THIS CALCULATOR PREVENTS

1

Underpricing to attract buyers

Every 10% price cut raises your break-even unit count. Model it first.

2

Ignoring fixed cost creep

Tools, subscriptions, and hosting stack up. ₹500 here, ₹800 there = painful surprise.

3

Optimistic Month-1 projections

10 sales on Day 1 with zero audience is fantasy. Break-even at 2 = real business.

4

Forgetting personal burn rate

Your business must cover YOU too. The Runway Planner includes personal expenses.

5

Launching without the number

The most common mistake. This calculator removes that excuse in 15 minutes.

FULL KIT ROADMAP — Business Finance Launch Kit

TOOL	WHAT IT DOES	STATUS
Business Viability Calculator	Break-even + runway + verdict	FREE — You have it
Pricing Formula Workbook	Cost-plus, value-based, competitive pricing	Coming — ₹999
90-Day Cash Flow Planner	Scenario-based monthly projections	Coming — Bundle
Offer Builder Workbook	Scope, tiers, deliverables, terms	Coming — Bundle
Client Money Framework	Invoicing, payment terms, late payment	Coming — Bundle
Tax & Compliance Starter (IN)	GST threshold, ITR basics, registration	Coming — Bundle
30-Day Launch Tracker	Daily actions + revenue milestones	Coming — Bundle
FULL KIT (all 7 tools)	Complete financial foundation to launch	₹2,999

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